Subbarao's Mixed Record

Quite expectedly, there was extensive media evaluation of my five years at the Reserve Bank. The general verdict was that my record was a mixed one. Here are some excerpts:

'Had Subbarao stepped down in May [2013], his legacy would have been different. In September 2008, when he took up the assignment, India was one of the many countries hit by the global credit crunch. But the currency crisis is mostly India specific and tackling it has been Subbarao's biggest challenge in his entire career. He hasn't met the challenge with aplomb. Does that mean his has been the worst tenure at RBI? As they say, a governor should be judged over a cycle and not when he leaves.' ('D. Subbarao: The government insider who turned rebel' by Tamal Bandyopadhyay, *Mint*, 3 September 2013)

'The true legacy of Dr Subbarao will be realized . . . down the line. But this much needs to be said: over the years the grand old lady of Mint Street has been wooed by several powerful suitors from Delhi. And she turned them all down. Dr Subbarao sustained that legacy even if at times it required him to tell some of those suitors to take a walk, all alone. That shall remain his biggest accomplishment.' ('Not his master's voice', *The Hindu*, 4 September 2013)

'Fiscal dominance means that fiscal policy dominates monetary policy in terms of its impact. Monetary policy actions lose traction and effectiveness because, even if the central bank raised interest rates, if it was forced to buy government debt because of excess government spending, the effectiveness of rate hikes is lost. That is what happened to poor Dr Subbarao. He was more a victim than a villain of India's inflation and currency problems as many made him out to be then and still think so.' (V. Anantha Nageswaran in a blogpost on the gold standard site: https://thegoldstandardsite.wordpress.com/2015/03/04/indias-inflation-targeting-regime/)

'How will history judge Subbarao? As a governor who fought fiercely for the central bank's independence, one who had a mind of his own and